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Payment of Wages Act

Payment of wages act regulates the payment of wages to employees earning less than a particular amount in a month. In 2022, the amount was INR 24,000. For this act, wages mean salaries. The act defines four key areas:

MODE OF PAYMENT

The mode of payment must be cash or bank transfer. You cannot pay in kind. In 2023, employers are required to preserve the records of people employed, work performed by them (job roles), and payment of wages for 3 years.

TIME OF PAYMENT

As of 2023, the wages must be paid within 7 days from the end of the wage period. If the wage period is monthly then payment must happen by the 7th of the next month. The employers having more than 1000 employees are given 3 additional days. They may pay the wages within 10 days from the end of the wage period.

XYZ BANK

Payment Mode: IMPS

03 / 10 / 2021

Amount: Rs. 25,000

Remarks:

Salary for July 2023, after various tax deductions of Rs. 3,000.

WAGE PERIOD

Wage period is the duration for which an employee is paid. You as an organization must define the wage period. Wage period must be less than 1 month. Most of the organizations follow a monthly wage period in India.

DEDUCTION FROM WAGES

Employers must pay wages without any deduction except those exempted by the act. The key exemptions include fines, absence from duty, damages due to neglect of employees, and recovery of advances.

Pay

An organization can support employees in time of need by making advance payment against salary or offering loans. The loans can be recovered over a period of a few months. If loan is interest-free then it is treated as a taxable perk.